

SENATE BILL 1323

By Johnson

AN ACT to amend Tennessee Code Annotated, Section 13-23-134 and Chapter 971 of the Public Acts of 2024, relative to tax credits.

WHEREAS, Tennessee has prioritized low-income and affordable housing for Tennesseans across this great State; and

WHEREAS, to continue this State's progress in increasing low-income and affordable housing for Tennesseans, it is important to provide mechanisms for building, developing, and rehabilitating such housing; and

WHEREAS, there is a federal income tax liability credit for low-income housing; and

WHEREAS, the federal income tax liability credit rate for eligible developments is determined through competitive and noncompetitive credits for new construction costs, rehabilitation costs, acquisitions costs, and use of tax-exempt bonds; and

WHEREAS, in 2024, Public Chapter 971 was enacted, which authorizes the Tennessee Housing Development Agency to allocate Tennessee rural and workforce housing tax credits against taxpayer liability; and

WHEREAS, the Tennessee Housing Development Agency shall allocate such credits to qualified projects pursuant to the agency's qualified allocation plan that is developed pursuant to Section 42 of the Internal Revenue Code of 1986 (26 U.S.C. § 42); and

WHEREAS, under Public Chapter 971 of 2024, to the extent such qualified projects exist, at least fifty percent of the authorized Tennessee rural and workforce housing tax credits must be allocated to qualified projects in an eligible rural area, and no more than fifty percent of the authorized Tennessee rural and workforce housing tax credits may be allocated to qualified projects outside of eligible rural areas; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 13-23-134, is amended by deleting subsection (f).

SECTION 2. Section 6 of Chapter 971 of the Public Acts of 2024, is amended by deleting the second sentence in its entirety.

SECTION 3. This act takes effect July 1, 2025, the public welfare requiring it.